



MEMORANDUM

CN - No. 2026-0034

THE PHILIPPINE STOCK EXCHANGE, INC.

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|-------------------------------------|---|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: Proposed Rule Amendments |

TO : TRADING PARTICIPANTS AND OTHER MARKET PARTICIPANTS

SUBJECT : PROPOSED INCREASE IN THE MINIMUM UNIMPAIRED PAID-UP CAPITAL OF PSE TRADING PARTICIPANTS

DATE : July 21, 2026

The Exchange invites all interested parties to submit comments on its proposal to raise the minimum unimpaired paid-up capital requirement for PSE trading participants. Kindly see the attached Consultation Paper for details.

Comments may be sent to the Office of the General Counsel at ogc_list@pse.com.ph until July 31, 2026.

For your information and guidance.

(Original signed)
Ramon S. Monzon
President and CEO

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The Philippine Stock Exchange, Inc.

Consultation Paper

PROPOSED INCREASE IN THE MINIMUM UNIMPAIRED PAID-UP CAPITAL OF PSE TRADING PARTICIPANTS

Disclaimer: This Consultation Paper is disseminated for the purpose of soliciting comments from the concerned stakeholders. The final version of the Rules may differ from the draft rules contained in this Consultation Paper.

I. Consultation Process

This Consultation Paper is circulated to give concerned stakeholders an opportunity to submit comments on the proposed increase in the minimum unimpaired paid-up capital stock requirement for PSE Trading Participants.

Interested parties may submit their comments and requests for clarification by e-mail to ogc_list@pse.com.ph until July 31, 2026.

II. Proposed Amendments and Rationale

Under the 2009 PSE Rules Governing Trading Rights and Trading Participants (“2009 TP Rules”), an entity applying to be a trading participants (“TP”) which does not meet the ₱100 Million unimpaired paid-up capital requirement shall have a minimum unimpaired paid-up capital of ₱20 Million effective December 31, 2009, to be increased to ₱30 Million effective December 31, 2010.

In addition, Section 28.1.6 of the 2015 Implementing Rules and Regulations of the Securities Regulation Code requires existing Broker Dealer allowed to defer compliance with the ₱100 Million unimpaired paid-up capital requirement to file a surety bond of not less than ₱10 Million for Brokers and not less than ₱2 Million for Dealers or such other amount as the Securities and Exchange Commission shall prescribe.

Since the minimum unimpaired paid-up capital for broker-dealers was last adjusted in 2010, the market has seen a substantial growth in transaction sizes, volumes, inflation, and systemic risks. To ensure systemic stability and index against inflation, the Exchange proposes a phased increase in the unimpaired paid-up capital requirement, with the objective of scaling it to at least ₱100 million by 2029, almost 20 years after the last increase.

The proposed timeline for the mandatory capital build-up is as follows:

By December 31, 2027: Unimpaired paid-up capital requirement shall be **at least ₱50 Million**.

By December 31, 2028: TPs not meeting the ₱100 Million minimum unimpaired paid-up capital requirement shall increase their **surety bond** from ₱12 Million to **₱20 Million**.

By December 31, 2029: Unimpaired paid-up capital requirement shall be **at least ₱100 Million**.

The above proposal is reflected in the marked-up draft of Article III, Section 8 of the TP Rules which is attached to this Consultation Paper as **Annex “A.”**

ANNEX "A"

ARTICLE III
TRADING PARTICIPANTS

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SECTION 8. General Qualifications of Trading Participants – An entity applying to be a Trading Participant must have the following minimum qualifications:

- a. Must be a duly-registered domestic corporation authorized to transact business as a broker or dealer in securities;
- b. Must be composed of stockholders not exceeding such number as may be prescribed by law or regulations and who are all acceptable to the PSE Board; and
- c. Must have and keep a minimum subscribed **UNIMPAIRED PAID-UP** capital stock, **AS DEFINED BY THE SECURITIES AND EXCHANGE COMMISSION, OF ONE HUNDRED MILLION PESOS (₱100,000,000) OR in such HIGHER amount as may be required by law or regulations.**

~~Provided, That~~ Trading Participants **WHICH HAVE ALREADY BEEN ADMITTED AS SUCH PRIOR TO THE EFFECTIVITY OF THESE AMENDMENTS** shall have a minimum unimpaired paid-up capital, ~~as defined by the Securities and Exchange Commission, of Twenty~~ **FIFTY** Million Pesos (~~₱20,000,000~~ **₱50,000,000**) effective December 31, ~~2009~~**2027**; ~~Provided further, That effective~~ **DECEMBER 31, 2028,** **TRADING PARTICIPANTS WHICH ARE NOT YET COMPLIANT WITH THE ₱100,000,000 UNIMPAIRED PAID-UP CAPITAL REQUIREMENT SHALL POST A SURETY BOND OF NOT LESS THAN TWENTY MILLION PESOS (P20,000,000); PROVIDED, FURTHER THAT EFFECTIVE** December 31, ~~2010~~**2029** ~~and onwards,~~ the minimum unimpaired paid-up capital **REQUIREMENT** shall be ~~Thirty~~ **ONE HUNDRED** Million Pesos (~~₱30~~**₱100,000,000**).